National Interest Analysis [2025] ATNIA 8

with attachment on consultation

Agreement to Establish the Pacific Resilience Facility

(Honiara, 10 September 2025)

[2025] ATNIF 26

NATIONAL INTEREST ANALYSIS: CATEGORY 1 TREATY

Agreement to Establish the Pacific Resilience Facility

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Nature and timing of proposed treaty action

1. The proposed treaty action is ratification of the *Agreement to Establish the Pacific Resilience Facility* (the Agreement). The Agreement was signed by the Prime Minister, the Hon Anthony Albanese MP, and Pacific Leaders on 10 September 2025 in Honiara, Solomon Islands.

2. In accordance with Article 18, the Agreement will enter into force upon the receipt by the Depository (the Pacific Islands Forum Secretary General) of an instrument of ratification, acceptance or approval by seven Pacific Forum Member Countries and the Kingdom of Tonga as the Host Country.

3. It is proposed that Australia deposit its instrument of ratification, in accordance with Article 16 of the Agreement, as soon as practicable after the completion of domestic treaty-making requirements.

Overview and national interest summary

4. The purpose of the Agreement is to establish the Pacific Resilience Facility (PRF) as an international organisation and outline its functions and governance. The PRF will be a financing institution with responsibility for managing and disbursing funding in accordance with the Agreement. The purpose of the PRF is to assist Members to build systemic resilience to the impacts of climate change at the national level by strengthening the collective financial resilience of PRF Members: to receive and make climate and disaster grants for climate adaptation, disaster preparedness, nature-based solutions, and loss and damage projects; to support disaster rapid response; and to receive and make social and community grants for Sustainable Development Goals and to support resilient and sustainable communities.

5. Establishing the PRF is a key part of Australia's commitment to be responsive to the priorities of our region by supporting more targeted climate financing that meets the specific needs of the Pacific region and responds to the evidence of the accelerating climate crisis. Ratifying the Agreement and becoming a PRF Member contributes to Australia's national interests by developing a regional response to the impacts of climate change, strengthening the resilience of the Pacific region on their stated primary security challenge and demonstrating our commitment to regional security, prosperity and stability in the Pacific.

Reasons for Australia to take the proposed treaty action

6. The Pacific region sits at the frontline of the climate crisis, the single largest threat to lives, livelihoods, culture and security of Pacific communities. The Agreement builds upon shared work responding to the climate crisis, and demonstrates Australia's commitment to providing the Pacific with sustainable and ongoing climate finance support through the PRF.

7. Establishing the PRF has been a longstanding priority of the Pacific Islands Forum. Forum Economic Ministers, Forum Foreign Ministers and Forum Leaders have considered and endorsed elements relating to the establishment of the PRF several times, including through a Leaders Declaration in 2023.

8. Taking the proposed treaty action supports Australia's national interest by enabling us to contribute meaningfully to a Pacific-led initiative with strong regional backing. The PRF provides a trusted, regionally endorsed mechanism for delivering climate finance in ways that reflect Pacific priorities and values. Australia's support bolsters our standing as climate leader in the region which underpins Australia's credibility and broader strategic efforts. The PRF utilises the Pacific regional architecture which reinforces Australia's commitment to regionalism in a context of strategic competition. The PRF aligns with Australia's development policy focus on partnerships, resilience and regional stability. A more resilient Pacific reduces the frequency and scale of crisis responses Australia may be called upon to provide, easing long-term pressure on our humanitarian, defence and development systems.

9. Australia has announced an AUD100 million foundational contribution to the PRF, as included in the 2023/2024 MYEFO budget, which will be provided through a grant arrangement to the PRF when the Agreement has entered into force. In providing the governance framework through which this contribution can be made, the Agreement better positions Australia to play our part in a shared Pacific that is peaceful, stable and prosperous.

Obligations

10. The primary purpose of the Agreement is to create the PRF and establish governance arrangements for the PRF to fulfil its purposes and objectives.

11. Articles 1 and 2 establish the PRF as an international organisation with legal personality and capacity. Article 3 sets out the purposes and objectives of the PRF. These include reducing and mitigating the adverse impacts of climate change and disasters on persons and States in the Pacific region; contributing to resilient Pacific communities; carrying out inclusive and coordinated actions with relevant environmental and social safeguarding standards; and investing and reinvesting capital in a sustainable, agile and affordable manner.

Governance

12. The PRF will be governed by a Council and Board, and any committees, subsidiary or affiliate entities as may be decided by either body (Article 6). The Council – the supreme governance organ of the PRF – will be comprised of authorised representatives of each PRF Member which is a member of the Pacific Islands Forum

(Article 7). The Agreement envisages that Council Members will be Ministers of Finance (or similar). The Council will be responsible, amongst other duties, for the approval of the strategic plan, annual budget, annual report, and financial statements.

13. Pursuant to Article 8, the Board will be responsible for the overall administration, management and operation of the PRF, and will exercise any powers delegated by the Council. The Council has the power to request visibility of material and information regarding the Board's administration, management and operation of the PRF (Article 12(c)).

Oversight and accountability

14. Funding of the PRF will derive from voluntary contributions, investment income, and any other sources of funding deemed acceptable under the Rules of Procedure (Article 11(a)). All investments made by the PRF must be made in accordance with the Agreement, the PRF Rules of Procedures and Regulations (adopted under Article 9), and related policies (Article 11(b)). Finance provided by the PRF to a recipient must be used exclusively to pursue the Agreement's purposes, and the recipient must report its use to the Board (Article 11(f)).

15. Article 12 requires the PRF to operate in accordance with generally accepted standards of governance, transparency and accountability. To this end, the PRF is obliged to provide to PRF Members: an annual report with an audited statement of the PRF's accounts; quarterly, a summary statement of its financial position and a profit and loss statement showing the results of its operations; and any other reports or materials the PRF deems appropriate in light of its purposes and objectives.

Privileges and Immunities

16. Article 13 obliges PRF Members to provide such status, exemptions, privileges and immunities as are necessary to enable the PRF to fulfil its purpose and objectives and carry out its functions in the PRF Member's territory. The Council is given the power to waive exemptions, privileges and immunities of the PRF and its staff as appropriate in the best interests of the PRF.

Implementation

17. No changes to domestic laws or national policies are required to implement the Agreement. The PRF will be headquartered in the Kingdom of Tonga and will operate in Pacific island states, rather than in Australia. In the unlikely event that Australia is required to extend privileges and immunities to cover the operation of the PRF in Australia, regulations would be made under the *International Organisations (Privileges and Immunities) Act 1963.*

18. The Office of Impact Analysis has advised that an Impact Analysis is not required.

Costs

19. Beyond the costs associated with our voluntary contributions, there are no foreseeable extra financial costs for Australia to comply with the proposed treaty action.

Future treaty action

20. In accordance with Article 20, any party to the Agreement may propose an amendment to the Agreement by submitting such a proposal to the Depositary which shall transmit it to all other Parties. An amendment to the Agreement shall be adopted if the proposal receives unanimous approval of the Parties. An amendment shall enter into force three months, or such other time period specified by the amendment, after the date of a formal communication from the Depositary advising its receipt of an instrument of the amendment from each of the Parties.

Termination

21. Article 22 of the Agreement provides that any party may withdraw from the Agreement by written notification of its intention to withdraw from the Agreement. Such withdrawal would become effective from the date of receipt of the notice by the Council.

22. A party which ceases to be a PRF Member in accordance with Article 22 (c)(i)-(ii) or (iv) will not be refunded the amount (or any part of the amount) which it has contributed to the PRF as capital or for operating expenses or, on account of that cessation, be paid any other amount by the PRF.

23. A PRF Member shall cease to be a member of the PRF: if it withdraws from the Agreement under Article 22(a), at the time that withdrawal becomes effective; if it ceases to be a member of the Pacific Islands Forum, at the time that occurs; when the PRF is dissolved, at the time that occurs; or if the Council so decides, at the time specified by the Council in connection with that decision.

24. Article 25 of the Agreement stipulates that the Council may unanimously decide to dissolve the PRF. Upon such decision being made: the Council will notify the Board and the Host Country; and the Board will cease all activities except all necessary and requisite steps to affect the orderly liquidation of the PRF.

25. Upon completion of the Board's work, the Council will remove all Directors from office; and distribute any surplus assets of the PRF in accordance with any allocation policy adopted by the Council; and the Agreement will terminate.

26. The PRF will not be liquidated and dissolved during the period of one year after this Agreement enters into force unless all PRF Members unanimously agree.

Contact details:

Regional, Communications and Climate Branch
Office of the Pacific
Department of Foreign Affairs and Trade

ATTACHMENT ON CONSULTATION

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CONSULTATION

1. The Agreement was negotiated together with Pacific Islands Forum Members over a series of online discussions culminating in in-person workshops in December 2024 and January 2025.
2. In March 2025, a Special Meeting of the Forum Foreign Ministers Meeting in Nuku'alofa concluded the negotiations and endorsed the Agreement text.

State and Territory Governments

3. The Agreement is not envisioned to have any impacts on State and Territory Governments.

Public Consultation

4. No Australian public consultation was undertaken on the Agreement. Consultation with communities in Pacific island countries is ongoing. In the interests of transparency, the Agreement was published on the Department of Foreign Affairs and Trade website following its signing.